POLICY BRIEF

Cross Border Legal Gaps In Tokenized Real World Assets & Their Impact on UAE Capital Flows and Financial Stability.

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Executive Summary

The lack of harmonized legal recognition for tokenized real-world assets creates regulatory fragmentation, limiting cross-border investment and market efficiency in the UAE. This generates uncertainty in ownership, enforceability, and compliance, weakening investor confidence and increasing systemic risk. The UAE should strengthen cross-border regulatory coordination, establish mutual recognition frameworks, and develop standardized interoperability rules. These measures will reduce legal uncertainty, improve capital flows, and reinforce the UAE's position as a global financial hub.

Problem Statement

Regulatory fragmentation results from the lack of cross-border legal certainty for tokenized real-world assets, which raises questions about ownership rights, enforcement, and compliance.

This fragmentation hinders the free flow and scalability of tokenized financial markets, lowers investor confidence, and restricts cross-border investment.

As a result, market efficiency decreases and the UAE's standing as a competitive international financial center is put in jeopardy.

What Is The Issue ?

Technology is advancing more quickly than the legal system, so while economic activity is worldwide, regulation is still national.

Focus

- Financial Stability
- Capital Flow Efficiency
- Global Competitiveness

Why It Matters ?

It makes it more difficult for policymakers to create stable, innovation-friendly financial regulations and increases systematic risk.

Due to ambiguous ownership rights and increased cross-border transaction risk, it lowers investor confidence and restricts capital involvement.

It reduces capital inflows and market efficiency, making the UAE less competitive as a global financial center.

Why Now ?

The rapid pace of market acceleration has left regulation trailing behind.

This is no longer a trial phase; it is becoming a standard part of finance.

The intricacies of cross-border transactions are growing.

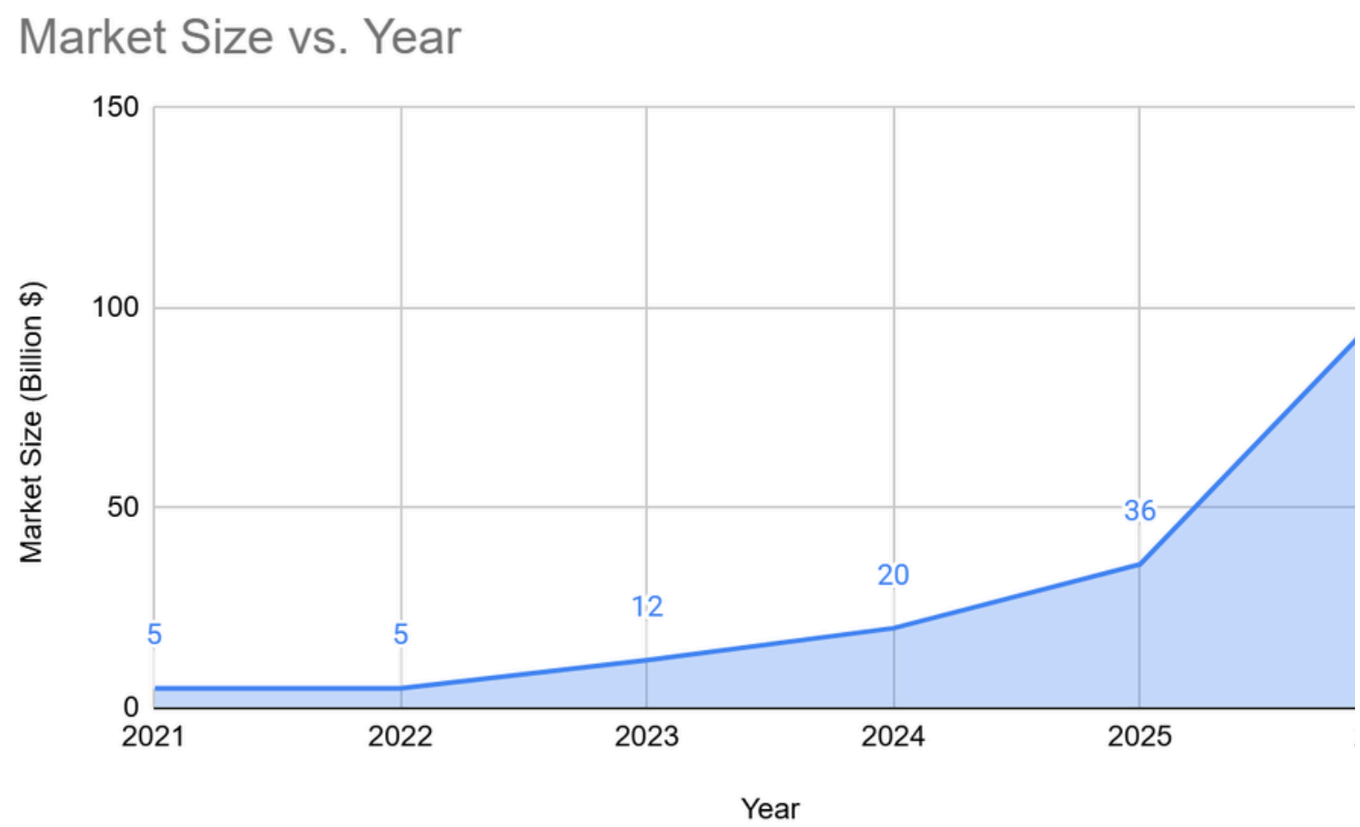
The risk of future fragmentation is becoming urgent.

Analysis

Market Growth

The tokenized real-world asset market has grown rapidly from under $5 billion in 2021 to a projected $100 billion by 2026. Early growth came from pilot testing and proof of concept projects, but recent expansion is driven by real world use and increasing institutional adoption. This shift shows that tokenization is moving from experimentation to becoming a mainstream part of financial markets, with strong momentum and growing investor interest.

Year	Market Size	Key Reason
2021	< $5B	Pilot testing
2022	~$5B	Proof concepts
2023	~$12B	Private chains
2024	~$20B	Production launch
2025	~$36B	Treasury adoption
2026	~$100B+	Institutional scale



Comparative Analysis (Regulation)

The UAE has developed a comprehensive but multi-regulator framework for tokenized real-world assets, with authorities such as VARA, ADGM, and federal regulators overseeing different aspects of the ecosystem. In contrast, jurisdictions like the EU and Singapore provide more unified or centrally coordinated regulatory structures, particularly for cross-border operations. This difference highlights a key gap in the UAE's regulatory approach, where fragmentation and a lack of international alignment limit the seamless cross-border scalability of tokenized assets.

FACTORS	UAE	EU	SINGAPORE	GAPS
Regulatory Structure	Multi-regulator system	Unified framework (MiCA)	Centralized but strict	UAE framework is fragmented compared to more unified structures
Legal Recognition	Evolving, Varies by Jurisdiction	Clearer classification under MiCA	Structured legal classification	Lack of consistent legal recognition across jurisdictions
Cross-Border Operability	Strong Locally, Limited Global Alignment	Passporting system (within EU)	International agreements	Absence of formal cross-border regulatory frameworks
nnovation Support (Sandbox)	Strong (ADGM, DIFC sandbox)	Slower but structured	Strong	Sandbox not designed for cross-border scalability

Policy Recommendations

1. Cross-Border Regulatory Coordination

Form bilateral and multilateral agreements with major financial jurisdictions to harmonize legal definitions, regulatory requirements, and mutual recognition of tokenized real-world assets.

2. Unified Legal Framework for Tokenized Assets

Create a unified national legal framework in the UAE that unambiguously defines ownership, enforceability, and classification of tokenized real-world assets for all regulatory bodies.

3. Cross-Border Regulatory Sandbox Expansion

Create an international regulatory sandbox with partner countries to test tokenized real-world asset transactions under shared supervision and interoperability standards.

Conclusion

The lack of harmonized legal recognition for tokenized real-world assets across jurisdictions creates regulatory fragmentation, limiting cross-border investment and reducing market efficiency in the UAE. This leads to uncertainty in ownership rights, enforceability, and compliance, weakening investor confidence and restricting capital flows. If unaddressed, these gaps risk undermining the UAE's position as a leading global financial hub as tokenized markets continue to scale rapidly.

To address this, the UAE should prioritize cross-border regulatory coordination, develop mutual recognition frameworks with key jurisdictions, and strengthen interoperability standards for tokenized assets. These measures will enhance legal certainty, improve market efficiency, and support sustainable capital inflows aligned with the UAE's long-term economic diversification and global competitiveness goals.

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